Star Holdings STHO

March 03, 2026 - 8:05pm EST
by cnm3d

			2026	2027
Price:	8.50	EPS	0	0
Shares Out. (in M):	12	P/E	0	0
Market Cap (in $M):	103	P/FCF	0	0
Net Debt (in $M):	112	EBIT	0	0
TEV (in $M):	215	TEV/EBIT	0	0

Description

STHO is a spinoff from its former parent, iStar, and began trading independently in March 2023. It was written up by Walter99 in May 2023, while the former parent was written up repeatedly on VIC during the GFC period. I would recommend reading those as well to get a sense of where we came from. There are also several good write-ups on the Koneko Research substack. While I disagree with some of Koneko's conclusions and valuation, I think they have done excellent work on what exactly STHO owns, asset by asset. I would also recommend reading Morgan Stanley's initiation on SAFE, STHO's largest asset, as well as SAFE's prior investor communications, which walk through the economics of a ground lease.

STHO is a liquidating security, rather than a permanent capital vehicle. As a liquidating security, my thesis is simple: as STHO's assets are sold off, STHO will distribute the profits and converge towards its NAV. At present, I calculate STHO's NAV at $24 versus its current $8.50 trading price. If I am correct that distributions will accelerate in the next year, I think the IRR will be quite attractive.

STHO's primary assets are 13.5MM SAFE shares and liquidating real estate in Asbury Park and Richmond. It is a low-liquidity security, trading under $500k per day, where the stock's price and fundamental value can move in opposite directions purely due to liquidity. After several years with minimal updates from the company, I believe that has happened here. However, STHO has made significant progress toward liquidation over the past three years, and I believe the company will announce significant capital returns in 2026.

When it was spun off from its former parent, iStar, now called Safehold (SAFE), STHO was envisioned as a three- to five-year liquidation, with certain hard-to-sell assets placed in the spinco to simplify the larger company's investment story. We are now entering year four of this plan. These assets were not spun because they were troubled, as is typical in "bad bank" spins, but rather because they were real estate developments that do not match SAFE's mandate to invest in ground leases. Since the spin, STHO has made significant progress, realizing sales of ~$170MM of real estate versus their book value of ~$120MM. STHO now holds only $113MM of land for development, down from $224MM at the time of spin. Further, public filings in Asbury Park indicate that several land parcels have been optioned by large builders such as Hovnanian and Toll Brothers, yet they remain on STHO's balance sheet. I would highly recommend reviewing Koneko's latest post, which details the individual lots and who has filed plans to develop them. I anticipate most of these lots will move towards construction in 2026. STHO has also substantially reduced the management fee owed to SAFE, from ~$55MM at the time of spin to ~$10MM today. This is critical, as the management fee owed to SAFE also served as a break fee if the management contract was terminated. STHO is now largely free from any cost or liability to its former parent, beyond the $115MM term loan, which could be refinanced by a third-party buyer.

To facilitate these asset sales, STHO engaged in numerous seller financings. While initially a drain on cash, STHO has successfully recuperated all of these when due, and I anticipate several key repayments in 2026, including the elimination of the Surfhouse JV, which has made STHO's financials difficult to understand. These actions have substantially strengthened STHO's balance sheet. At year-end 2025, I calculate STHO's cash and readily marketable bond investments at ~$94MM versus their term loan at $115MM.

Which brings us to STHO's largest and most important asset – its 13.5MM SAFE shares. At the time of the spin, STHO had significant asset value but limited cash. To safely capitalize the spinco, management spun it with shares of the parent company, SAFE, which could be sold if needed. As I calculate STHO at ~$21MM of net debt, versus my expectations for >$50MM of cash flow from loan repayments and asset sales in 2026, the logic for maintaining their significant SAFE stake is weakening. I anticipate STHO announcing either a spin or sale of their SAFE shares in 2026, along with a repayment or restructuring of their existing credit facility. As STHO's SAFE shares have a current value of ~$120MM, net of a $91MM margin loan, a distribution to shareholders would be ~$10 per share, versus STHO's current $8.50 price.

Regarding SAFE's valuation, it has been trading in a $13-$25 range since the spin. SAFE is a portfolio of ground leases. It is envisioned as a special finance company, providing an extremely long-dated form of financing (~99 years) that roughly corresponds to a senior secured credit position with a 40-50% LTV. SAFE is levered 2-to-1, so SAFE equity is essentially the 35-50% tranche in a CMBS transaction. SAFE management's goal is to grow the loan portfolio, but the current interest rate environment has not been conducive to growth. It was a lot easier to talk people into borrowing for 99 years at 3% than at 7%... Personally, I think there's a chance SAFE can get back to growth as people adjust to the new long-term rate environment. SAFE is currently earning about $1 in FCF/sh. before reinvesting $0.65.sh. ($45MM) into the growth business. As I like to tell people, if you and I ran SAFE just for cash flow, we have 50% too much overhead. There are cash flows here, but they are clearly being eaten by the growth business, which is not delivering like it did pre-2022. While I believe there is a reasonable bull case for SAFE, particularly if long rates fall, for simplicity, my valuation assumes SAFE trades around its current valuation when the shares are either spun off or sold.

Regarding STHO's remaining real estate, the assets are basically a few parcels of land in Asbury Park (~$60MM), land for a senior housing facility in Richmond (~$20MM), and two hotels and an entertainment venue in Asbury Park, currently held at construction costs minus depreciation (~$70MM). The plan is to continue developing the parcels and sell the hotels once the surrounding land is developed, as increased residential density should boost hotel profits. I think almost all the land will be sold by YE2027. Admittedly, the hotels are less profitable than I'd like, and the financials are confusing because hotel expenses and redevelopment expenses are combined on the same income statement line, but I don't think the current marks are wildly off. As long as the rest of the real estate is worth "something," and we think it is likely worth a premium to its ~$12 book value, you will do very well if SAFE is spun/sold near current prices.

Finally, while some investors may question whether management is committed to returning capital, hence the discount in STHO's shares, I have had positive discussions with management. They are also significant shareholders. CEO Jay Sugarman owns ~4% of shares outstanding. More importantly, STHO is already returning capital to shareholders via share buybacks. In 2025, STHO repurchased ~9% of shares outstanding. Management has had three years to do "something sketchy," but instead executed on the plan, repeatedly issued 10-Ks affirming their goal of liquidating, and accelerated capital returns. They had to change their loan agreement terms to get the buy back approved, which required negotiations with SAFE's board and was a reasonable headache for management. When people are going to screw you, they typically don't waste a lot of their time doing things to help you right beforehand.

Combined, I think STHO is likely worth between $20 and $30 versus its current $8.50 price, and there is a strong likelihood that STHO shareholders will see further capital returns in 2026 and 2027.

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Catalyst

Dividending the cash and/or spining off SAFE

Messages

Subject Some questions
Entry 03/04/2026 09:10 AM
Member spike945

Thanks for the write-up. A few questions:

1. How does the company avoid double taxation as it liquidates its portfolio? They are structured as a C corp and in their 10-K risk factors they allude to double taxation. What is their tax basis in their assets?

"We are treated as a C corporation for U.S. federal income tax purposes, and unlike iStar have not elected to qualify as a real estate investment trust. As a general matter, Star Holdings will be subject to U.S. federal income tax in the same manner as other U.S. corporations at corporate rates (currently 21%), plus additional state and local taxes. Our shareholders generally will be subject to tax on dividends paid by us, if any, to the extent of our current and accumulated earnings and profits. Moreover, to the extent that we sell Safe Shares, it will be a taxable event for us and could materially and adversely affect our results of operations, financial position and cash flows, including our ability to service debt and make distributions to our shareholders."

2. The company's disclosure also does not confirm that they have plans liquidate. Wouldn't it make more sense for the owners to reinvest the proceeds via a 1031 exchange and continue to reap the benefits of controlling a public company (i.e., extend the management agreement)?

Subject Re: Some questions
Entry 03/04/2026 11:49 AM
Member cnm3d

1) their tax basis is around book value, and they may have a tax loss on their SAFE shares. They could also convert at some point if it makes a big difference on taxes. I can see how tax leakage hurts returns, but BV/sh is like $23 here vs. $8 stock. If the realizations continue to come above BV, we'll do fine even if tax sub optimal.

2. every 10k has an investment strategy section that says simply this: "We expect to focus on realizing value for shareholders primarily by maximizing cash flows through active asset management and asset sales. We expect to make certain investments to complete development at Asbury and Magnolia Green, but we do not otherwise currently expect to make material new investments or acquire material new assets. " That's what my comment was alluding to. Ultimately, what they write in the 10k isn't really that important, but it's not the type of language you tell the lawyers to draft if you plan on screwing everyone.

While I've spoken to management and ultimately do trust them to do the right thing, I wouldn't be here if I thought they were already doing odd things or their incentive to screw you over was too great.

STHO is a derivative of SAFE, and they have the same management, effectively. STHO currently pays SAFE $10MM per year, but that doesn't flow directly to management at SAFE - it's spread across SAFE organization. I'd also note that STHO has a three-person board - that's the type of thing you do to save money for shareholders, not screw everyone and hook up your friends. If SAFE management wanted to milk it, they could have easily thrown themselves on the board and paid themselves $100k a year to phone it in. They opted not to, and I think that's telling.

Further, SAFE has a $7B balance sheet. Outside of SAFE shares, STHO has ~$350MM in assets. Jay's goal is to get SAFE shares up so that he can issue more stock to fund more deals = that's where the much larger misalignment would be. If they do something really sketchy with STHO, it hurts their reputation and their ability to get SAFE shares back up. When SAFE was trading $40-$120, SAFE was issuing 3-6mm shares a year and rapidly expanding. I've actually been impressed that SAFE management has dramatically slowed their issuance and not just issued stock and done deals with the stock under $20. Last year, they issued only 0.3MM. While I'd prefer they issue none here, they are trying to build a lending operation and have to be open for business to some extent, and issuing shares is really the only equity they have to fund deals. They've shown discipline. I'd also note that ground leases aren't a particularly liquid asset class like triple net or multifamily, where they can easily find a buyer for part of the book and rotate into capital returns. Even with that difficulty, they have a plan to put some of the assets into a JV to free up capital for repurchases rather than diluting SAFE.

I talk about how management is doing the right things at SAFE to show 1) integrity and 2) if they were going to be sketchy, their incentive would be to go for the $7B pool.

There's just not that that much incentive for screwing everyone, and I think the reward (a 2x) is worth the risk (trades like crap = but how much worse than here?).